The Market Feels Tilted in the Wrong Direction

Podcast: Know your risk

AI Executive Summary

Core Thesis The episode argues that the current market environment has shifted into a high-risk phase where downside threats significantly outweigh upside potential. Driven by rising interest rates, a strengthening US Dollar, and escalating geopolitical tensions in the Middle East (specifically involving oil supply routes), the market is experiencing a "tilted" setup. The speakers suggest that while investors are currently ignoring major geopolitical and macroeconomic "red flags"â€”such as massive, potentially unsustainable AI capital expenditures and energy supply disruptionsâ€”the market's refusal to price in these risks makes it vulnerable to significant, violent corrections.

Key Arguments & Data * Energy & Geopolitical Volatility: * Brent crude is approaching \$100/barrel, with WTI near \$92; the market is shifting from a period of "glut" back into a "shortage" dynamic. * Geopolitical instability in the Red Sea (rerouting ships) and potential escalations involving Iran and the Houthis threaten energy infrastructure and could drive prices even higher. * High energy prices act as a "margin thief," increasing costs for food, fertilizer, and general manufacturing, which ultimately drags on corporate earnings. * **Macroeconomic Indicators:** * The US Dollar has broken out of its "bull flag," signaling strength that pressures equities. * Treasury yields are rising, with new highs seen in both the 2-year and 10-year yields, creating a difficult backdrop for stocks. * US jobless claims have hit levels not seen since 1969, indicating a "no hire, no fire" labor market where participation is declining but mass layoffs are not yet widespread. * **Tech & AI CapEx Risks:** * Massive spending commitments for AI among "hyperscalers" (like Google) have reached approximately \$811 billion. * There is significant skepticism regarding the sustainability of margins in the chip sector, as massive capital expenditures face the risk of being rendered obsolete by technological "leapfrogging" (e.g., cheaper, effective models coming out of China). * The speakers note a dangerous decoupling where heavy spending on AI infrastructure does not necessarily translate to immediate or guaranteed returns on invested capital. * **Equity Market Performance:** * Recent significant drawdowns in the "Magnificent Seven" were noted (e.g., Tesla

down 14.5%, Google down ~7%, Meta and Amazon down ~4%). * The speakers warn against "crowded trades," specifically mentioning that highly leveraged semiconductor ETFs (2x/3x) are extremely dangerous during periods of sudden market unwinding.

Actionable Takeaways * Prioritize Risk Management over Alpha: In a market characterized by high volatility and "bad news" dominance, focus on capital preservation. Avoid over-leveraged positions in crowded sectors (like semiconductors) that are prone to violent downward liquidity events. * **Monitor Energy as an Inflationary Driver:** Watch the \$100 Brent crude threshold closely. Sustained energy prices above this level can disrupt global logistics and increase input costs for much of the broader economy. * **Look Beyond Price to Fundamentals:** Do not rely solely on price action; analyze underlying data such as inventory levels, inflation expectations, and the "cost of doing business" (interest expenses) to identify when a trend is becoming unsustainable. * **Hedge Against Geopolitical Shocks:** Given the potential for sudden escalations in the Middle East that could impact energy markets, maintaining hedges against volatility and rising commodity prices is critical.

Full Transcript

Looking at this market right now, it feels like a market where a lot more bad stuff could happen than good. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

And we are back with another edition of the daily dots and I'm joined as always by the brain trust himself, Mr. Chase Taylor. We were joking before we came on. If this market was like a nervous system, like if you had a human being with a nervous system that worked like the market, you punch them in the face and they'd feel it. They'd yell two weeks later. Exactly. So all of a sudden, apparently we are worried about oil again. Um, and funny because it kind of played out like we thought when we were calling BS on that rally earlier this week, it looked like rates for the durable move. They continued to move higher today and stocks finally felt some of that pain in there. Yep. Dollar broke higher. Um, hit new, new high for the 10, 10 year yield, new high for the two year yield. 30 doesn't look good. Uh, gasoline, trying to, trying to go make new highs again. Like it just.

That this is really hard for the markets to withstand all that and I think that was what we tried to say Monday was like nice little day, but with bonds It you know rates oil dollar up. That's not a day for me to buy Yeah, and then sure enough like that stuff kept going and the rest kind of caught caught back down a lot of things to cover We what why don't we jump into the rundown real quick and then we'll get into yep S&P closed the day down 1.2 3% The cues was was 1.9 Small caps about point six at mag seven down

four point six percent, which was good enough for a almost nine hundred billion dollars market cap in one day All rolled ex-US down one percent the dollar ended up up or excuse me up point three and if you look at that chart it's kind of been in a What we call a bull flag and it's broken above that so not a great look great sign there As far as the mag seven stuff itself goes kind of piggybacked off yesterday's earnings you had Google down almost 7% and you had in um tesla down 14 and a half percent But other than that you also had meta down four and a half microsoft or excuse me meta down three and a half amazon down four and a half so They all had their their struggles as mentioned two year up five basis points um 10 year up four so Ugly out that way you're about 4.7 now on the 10 still well above five obviously on the uh on the 30 year Crewed as we as we record here up about a little less than 6% Brent is holding 100 now. So you're back to a hundred on Brent. You're just under 92 on WTI Gold finished the day down 2.4 silver down Pretty much exactly at 4% gold miners down a little over 2 Platinum palladium both down 3-4% like so All things on the other side of that dollar trade kind of finally respected it today. You also had front month of all up about five and a half percent. And that is now to 19 and a half. So still sub 20. But as we talked about yesterday, per my calculations, you probably closed in negative gamut today. So now you're opening yourself to a big day in either direction. It feels like that time people were like, Hey, man, you have this awesome stock. Can't remember what it I can't remember the name of the company, but.

ticker symbol is UVXY. This thing just can't lose. It's like a DRAM ETF, right? Man, so many different things to get to. Also, I haven't dug into the Tesla quarter. Something tells me that they probably had some challenges in international markets. The big thing is for them is the same as everybody else with the CapEx. And they said it's basically here to stay. This is going to be quarter after quarter for a while. That's why the market was just puked it up. Well, that and their revenues were pretty disappointing. But again, I don't understand how you couldn't have forecast that. Right. This is so bizarre. In a time where information is so much more instantaneously at everybody's fingertips, watching this market continue to refuse to price anything but hilarity in until it's smacked across the face.

You know what I mean? Oh, yeah. And again, I haven't dug through the test. So maybe that's not a good example. But the move in oil, right? The move in the, it's just odd. And the funny thing is, is we haven't called it perfectly because you can't get the timing. But people have been listening. We've been saying over and over, well, we still think you're going to be right to own oil. It's just going to take a ridiculously long period of time for this market to figure it out. And finally, it does. Yeah, and you can see me even in the curve. I mean, you went, you went from the steep backwardation all the way back to Contango, all the way back to steep, you know, backwardation. So I really think what I said, I don't know, like a week or two ago is holding right. You, you would, you had a kind of a fake shortage. Then you had a fake glut. And now you're going back to a shortage, although this one may be a little less fake. If we keep three different bodies of water, you know, subdued with Red Sea, straight up form was Persian Gulf.

And in the black sea like just you're losing a lot of oil between the three of them So yeah, what was the developments today with the the Red Sea? What what changed there? So there have been ten reroutes now that we know of It looks like China may be securing passage for their stuff through like they already have in times past with the Houthis So I would expect some to still come to south but Chinese only they're going to divert more stuff north, um, which, you know, I don't think they can make up for all of that. And plus the logistic nightmare that logistics time here that that is, but they'll, so I think you'll lose one or two million barrels a day worth something like that, um, from the Red Sea. Uh, but, you know, you basically have the straight form moves now at close enough to zero. You're getting maybe two million barrels a day, something through, you know, just, it's just not good enough. So, um, Yeah, that's why you see, you know spreads tightening up and that backwardation really ripping higher Finally getting cracks reds cooling off probably in part because boils just ripping, you know, right, right? Yeah, it's bad If we don't do something that changed this it's just gonna get worse and worse. We got oil up what 20% in the last week enough Yeah, you went from 67 back to 93 here in three weeks, roughly. The other thing, and I don't have any inside information on this, I'm just speaking anecdotally, but the other thing that concerns me is I'm hearing more and more and more talk about thinking about discussing,

entertaining, whatever you want to, greater involvement in IRN. We're talking about bombing human now because of Houthis.

But we were also talking about bombing Mali a couple days ago. So, you know, why not kick up some some hornets and that's an Africa while we're well one of the interesting things I've heard too is from people that are You know that are more supportive of the Iran engagement Acknowledging now we're saying now that One of the reasons that they're saying that you need to go in there and put troops on the ground is because if you leave now You're leaving them in way too powerful of a position And so part of me sitting there going, look, I'm glad that at least we're acknowledging that that's what's happened. I'm not happy if that's going to be used as justification going there. Look, I, again, I'll just keep saying, I hope I'm wrong. I just really hope this doesn't, and I just, I don't want to see, I don't want to see that. I can't think of a worse, worse reward setup than doing it. So I, I cannot agree more of note on this, the Houthis actually threatened Saudi Aramco facilities.

Today or yesterday is like that. That's a big deal because if they it's one thing to close a waterway that you can open any minute if you do serious damage to complicated industrial sites that take six months to put back together They're they're now they are now officially playing the high oil game like they're they're playing those. Oh, I had the gollybuff guy the speaker of the parliament or whatever leader of negotiating team He was out trolling today about triple digit prices and Dropping memes with bicycles and sticks and stuff. So yeah, so they they're definitely focused on the oil price and Man again just to be this is exactly the scenario that we were concerned about because you're a What is a win look like? How can you get out of there getting what you want getting what you but more importantly? Just how do you leave in general? You know from the very beginning that was our biggest concern and watching that play out now Again, look, I hope this ends just being an economic discussion and an oil discussion because if that happens, then we've dodged a bullet. I just don't like where it's headed. Yeah. I mean, Iran was hitting the border checkpoints between Kuwait and Iraq today. That tells me that that's the kind of stuff I would expect them to do if they thought that we're going to

be ground troops coming through that way. Some of those little trends like that are disconcerting. It doesn't mean it's going to happen.

but it is disconcerting. But it's also reported today by Axios that the president's considering massive new strikes, which I don't know. I'm skeptical of that from an operational standpoint, just because you only have so many assets in theater that you can do stuff with. You only have so many Tomahawks left. You only have so many, you know what I mean? Like just the ability to ramp up. It seems just not like you can't actually do a lot more. Well, you and I have talked about this before. I got involved into a similar conversation on another podcast the other day, and it kind of felt like I was ripping off from things that you said and other people had said, but I think it's a really basic tenet that I think it really helps for people to keep in mind over issues like this. When you have a specific goal or a specific task for a military to do, especially ours, they're highly effective.

But when you're asking them to do these tasks, hoping it engenders this other outcome, that's where I feel like military action becomes extraordinarily cumbersome and ineffective. Because, no, I'm not saying that you can't have the military hit items A and B and get that to create the outcome or the scenario you wanted. I'm not saying it's impossible. But I'm just saying that type of thinking is what gets you involved in these longer drawn out military engagements if you do not have specific targets and specific goals And that's my whole point is what are we doing in Iran right now? Well, I think Joe Kent nailed it. Honestly, he said he says a bombing campaign in search of a strategy and right I think this is true and that's frankly been that's been the strategic short-sightedness of of the US since at least Vietnam is like, well, let's just drop a lot of bombs and maybe something good will happen. You know, and this doesn't work that way. And it's worth noting, you know, Iran is significantly bigger than Vietnam has way more people, has even worse topography to deal with. So like the thought that you're going to even go in on the ground and have something great happen is just kind of absurd. Well, that's my thought. Like, so here you are right now. OK, so let's go do a bunch more sorties and go drop some more bombs. And you think all of a sudden they're going to be like, OK.

That 59th bomb is what convinced us. Exactly. You know what I mean? And I'm not saying that we're stupid for I'm not again, I'm not making any judgments What I'm trying to point out is it feels like we got ourselves in a bit of a hornets nest here and don't know how to extract ourselves from it And that's what I that's what we were concerned about five days out from five from being five months So it means you're you know, roughly 35 days from six months half a year of this And obviously if you go back and listen to all the original rhetoric it was all about how fast this would be Don't worry. It's going to be over in any day now. Like they said that, you know, four to six weeks, maybe, you know, well, maybe, maybe it's four to six months. Like, so this thing is ticking on the life of its own. Like these things often do. It's a tough one. Yeah. And here you are five over five months involved now oil pushing back toward a hundred here.

All the things that were said rates at the highs dollar all the things people told us we were idiots for saying yeah, and again I'm not gloating again. You don't want to be right. It's just It's it's a weird market environment where you just kind of sit there You know you're taking shots because you're just stating the obvious and then you sit back and wait for two months and it comes And I think it says a lot about the investors in 2026 like oh you were wrong Well, give it a minute like it's been It's been a few weeks and there was a glut when you opened the straight. If you release that much and that quick of a time, it creates a mini glut. But how sustainable is said glut? Obviously, it not very. When your store doesn't get resupplied for a month because there's a horrible snowstorm, And all of a sudden, the five semi-trucks that were supposed to come over the previous five weeks all show up on the same day. You got a glut. Yeah. Well, until everybody gets what they need. Exactly. And then you're back to bear. And that's where I think, you know, when we were in the 60s and the bears were doing all their victory laps, like, I think a lot of people looked at the curve, you know, and we're like, well, you know, look how the curve, you know, is so flat now that that is telling you that we have too much.

And it's like, yeah, it is telling you have too much right now. But it's not predicting where we're going to be in two months. Crack spreads over the price of oil isn't telling you you have too much. Yeah. Right? I mean, look at something other than the price, right? Especially when you looked at the

short interest, when you heard the job owning, all that other kind of stuff. And you and I talked about it at real time. It's like we've lost the inability to look at data other than price. And like, what price is telling? You go, OK. You're drawing 10 million barrels a week, man. If you thought the price was right at the same place it started the war a month ago, then come on. And I will say the flip side of this, eventually we're going to work ourselves into a lather where you're going to be well over 100 probably, and the futures positioning will be a whole bunch of net longs. Then it's going to be the opposite. It's going to be like, man, now there's a bunch of downside risk.

Because when all these longs puke, the way all the shorts are puking today, yeah, you're going to have air pockets to the downside. So you just got to understand the positioning and how much it drives the oil. Warren Pies had a good note on that today, like, hey, this just shows how powerful positioning is in oil markets. Whenever everyone was on one side of the boat, you should be careful. And whenever they get all on the other side of the boat, well, you should be careful. And this just shows that. I don't know if it has to do with the amount of money you've got out there, the market cap. It's probably a lot of different factors it always is. Retail investor involvement, retail investors being really infatuated with options markets and futures and all that kind of stuff. Like I said, I'm sure all these things play a role. The thing about this market that really blows my mind is How far and how long price can move against underlying fundamental data where you're, where you just keep watching the price of oil decline, literally right in line with inventories. Yeah. You know, you and I were doing, we talked about the whole way through. The graph to show those two lines was pretty stunning because I could never really done that before. And then all of a sudden they just decouple and go the opposite direction. It was pretty wild. Yeah.

And it's not anymore. Well, and it's funny to see it play out again. Not gloating at all. It took longer than both of us thought, but we just sat over over like I called the sixties. No, as the bottom, I didn't get down there. I didn't think you'd get there. That was a gift to have gone down there. I didn't think you'd get there. Now we did say it'll probably go way lower than it should. Yeah. Had you told me 67 was your bed, I'd have laughed in your face in the mid eighties. I'd have been like, no, no, we're we're hitting

bottom right here. We're going all the way back to where we came from pre-war.

just, I mean, frankly, it's offensive that it happened. But we also said, well, it is into these markets too. And we also, I hope a lot of those investors, we were just, I was just giving that talk the other day. Uh, was that Monday we did the show where I'm like, look, if you're a retail investor, you have an advantage because you don't have to worry about managing volatility over the short term. Like we have to, like you should be, we were saying it like, sit guys, this is a gift here. 67. It's just a gift. And this is also why we've been saying, own some oil. I don't care what anybody else is saying, own some oil. Even when the world started back up and it was obviously on a nasty trajectory, you could have gotten in the low to mid 70s. I know markets aren't supposed to do this. And it's been our greatest source of alpha over the last several years. It's been the easiest, obvious plays. Now, easy in terms of it being very obvious, not easy in terms of hanging on.

Because, I mean, again, look what we had to write out. I never would have guessed we'd get down into the mid-60s. We got to the point where every day I was having a, what can we be missing conversation with both you and Cuppie? Yep. Just because, like, there's got to be something, you know? And I think there were things we were missing in kind of the micro sense, like the small, there were small parts of this, like the Chinese thing that everyone missed. That was huge. the fact that a decent amount was getting out at one point with ship to ship, probably a little slow to the uptake on that. But the big picture of like, okay, but we're feeding this beast with seed corn like that has a consequence eventually. Well, the other thing too is guys like you and me and Cuppey have been operating these markets a lot longer than the average retail investor.

You know, you're always missing a couple things, but the thing that we were counting on is that markets price in all of the available data and they just, they don't now. They pick and choose what and when and how they want to, you know, and like we've said, that's going to be a tremendous source of alpha. You've just got to be willing to suffer the slings and arrows of outrageous investing in order to get to the other side of it and realize it. Like I said, If you were going to stress test our oil position, there were times

where we had to pull it down when we didn't want to. We had to de-gross it. I mean, we've had very healthy oil positions through this whole thing. But there was times where we had to trim those positions just based on exposure where we're both sitting there kicking ourselves, going, God dang it, we're going to regret this. And we knew it. But we had to. You got to manage the volatility and you got to manage the positioning.

And again, I'm not trying to beat a dead horse here. I'm really hitting this for educational purposes for investors out there that guys this kind of stuff has been our greatest source of alph over the last several three four years. It has it not, right? Yeah. The market gets a lot wrong and it gets a lot wrong big and it gets a lot wrong and gives you a lot of time to do something about it. That's the crazy part. Yeah. The time it gives you, right? Like earlier this week, we're sitting there going, Rates, dollar, don't trust this move. You're getting a day of reprieve here. That ended up being two days of reprieve, and then the bloodletting hits today. Right. We had some positions that got hit hard that day, or the hedges, I should say. And just looking at that cross-asset action, it's like, yeah, I'm not interested in taking hedges off with that backdrop. And then today, really nice to have some hedges on. Yeah, 100%.

The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ. Another interesting one, man. We were doing our, uh, was that yesterday? We did the town hall yesterday. Yeah. Wasn't it? Well, we didn't do anything. So well, we, the Royal yesterday or the day before. Maybe it was yesterday because you were here. Yeah. Because I was like, I can't believe he's in there. Yeah. Yeah. Yeah, so that's what it was. Anyway. Yeah, it was. But really an interesting but obvious question, but it's one that I realized that I didn't really have an answer to or didn't have an answer for until somebody asked it. But one of the clients asked me in the town hall meeting, Zach, what are your thoughts on Intel specifically, but on all the chip companies generally speaking right now? And it's funny because it's the way it was asked.

If you have an investor meeting or town hall with anybody, that's probably going to be one of the top three questions to get asked, right? But I realized something when they asked it. I didn't have an answer because we don't really have much chip exposure right now. We've got our TSMC that we've had for a couple of years that we bought dirt cheap that everybody said was a stupid buy. Again, another obvious one, right? We're going to run in video up at the time three and a half trillion, but everybody doesn't think that's going to apply to Taiwan. Okay. We went big in that one, not big enough. But I asked him, I go, you know what? That's a wonderful question. And the reason why I feel like you can see today in Intel's earnings, right? First of all, if you're looking at Intel's earnings, they did not take a 12 billion hit. It has to do with the accounting.

People can be like, oh, they took a 12 billion loss and the stock's still up. Apparently there's a weird thing they've got to do with accounting to account for the stock that's owned by the Treasury. Makes sense. And as long as that relationship exists, when Intel stock goes up, that scene is a bigger loss on the balance sheet, but it's not actually hitting their cash, right? It's a weird accounting gimmick. So looking past that, if you look at just the basic data of the quarter, I mean, you got the highest revenue growth rate in 15 years. Here's the issue. Great quarter. I look at the price of the stock and it still seems way too high to even justify the outputs right now, right? And you're sitting there and if it's, if the outputs and the earnings and the results aren't good enough right now, when are they gonna be? Yeah, I think that one got uniquely swept up in like, Oh, the president and the government are behind it, so I'm going to buy it thing. Right. Some of that's unwound itself. Well, a lot of that's unwound itself, like a lot of the like MP materials and some of the other like critical mineral companies and stuff that ripped whenever they got some government support of all kind of come back to earth. But to be clear, you and I, we've never said this. I haven't said it. I'm not sitting here telling you, I think they're all nonsense. I'm not sitting here telling you to short them by any stretch of the imagination.

But I look at these chips. No, I look at the chip companies, though, and I just got to put it in the too hard basket. Look, I totally can see a path forward to where the prices of these things are not insane and that they can

justify some of these valuations. I also have a hard time buying a company at those valuations based on margins that I know are completely unsustainable. When do those margins compress? I have no idea. But you know, I don't you would have to have so much information about are we gonna ban the Chinese LLMs and stuff like that to have a to have a real take on where this stuff will be in five years I don't know how anybody has a real concrete view on it. I I know that they're extraordinarily expensive I know they're making extraordinary amounts of money. I have no idea how long people will cite contracts and I'm like guys, this is your first bull market Good luck collecting. When you're talking about a commitment or a contract to buy, let's say, 50 billion worth of chips and you don't have the money to do it. Don't worry. They'll give you the money to do it. Right. Yeah. They'll give you the money to do it. That's true. But I'm just saying, like, no, it reminds me of before every single recession over the last 40 years, everybody would cite Boeing's order book as proof the economy is doing strong. And you're like, wait, let.

Get six months into a recession. You think it would, would you gonna make people take delivery of the 300 million jet? Good luck. It just reminds me of the SPR thing. Yeah, but they're gonna have to, they have to give it back times two. Like, yeah, because it, because no one's going to say, don't worry about that. Yeah. Or you're right. Especially as it drives oil to 200, right? That was like one of the stupidest bull cases I heard, well, they're going to have to buy double back. And you're like, if that's creating a supply shortage, you don't think Trump's going to look at them and go, you don't have to do that. Yeah. I mean, come on.

But you're right, like the average contract has a million outs in it. And these do and you can you can look into it. The contracts are to juice the stocks on both sides. That's why it's like the Google contract to SpaceX right before the IPO that had easy outs written into it. Like speaking of Google and in the chip stocks, like they're spending commitments they had went up by over 300 billion quarter over quarter. To 811 billion they have now I'm for spending commitments and some of this will be you know well here Great great example to bring up Google because I think Google is a much easier one to handicapped and even the chip companies You and I know Google as good as anybody, right? I'm looking at Google same thing. I'm scratching

my head going if I'm buying the underlying business right here Do I want to buy it? Heck yeah, if you're looking at the price of this AI capex. Oh, you're right X AI but then you throw that number in. I can't look at you and tell you- An annualized trillion dollars of spending increases for commitments. Now, same thing. Those commitments can vaporize because it's the same contract we're talking about, but it just shows you all these, all the hyper scales are still just stepping over each other to see who can spend more money. And maybe this is me just divulging my own ignorance. Maybe that's not okay. But if you- as much as we've, as much work as we've done on Google. And like I said, we've done a lot. We know that company really well. If you were to put a gun in my head, I don't feel a confident that I could give you within a trillion dollars of valuation that I think is appropriate for the company right now. I don't know. That's how I feel about all these. I know. And I know there is a world where they make such an incredible AI that they run the world or whatever and they make tons of money. I get it. I think that's remote.

Compared to what's priced, but like I get it But man, it's just so much for easier for me to see the situation where they just spend a few trillion dollars and never really make it back That doesn't that doesn't mean AI is not gonna change everything and be awesome and super beneficial and I think that productivity just means it may not come from them and may come from all these other diffused diffused people that have giant customer bases software companies, whatever well, I mean, yeah because Again, to compare it to past cycles, you know, the equivalent on making those bets right now kind of seems like, you know, the people who thought America online was the best internet play, right? Well, they're going to provide the internet and you're like, well, as we've learned with new technologies, it's not the person, the first person that provides it or even the person that provides the most. The most money is made by people taking those new technologies and creating things.

It looks pretty clear to me that China is doing a better job of commercializing it because they're just doing it for cheaper. And obviously you can commercialize better if you have a way better price point. So like, we have one of these models come out and within a month, it's a nice model you have. There'd be a shame something happened to it, you know? Yeah.

And that's, that's intro US competition where they keep one up in each other. And then China will jumps in with the models just as good. This thing is too expensive. This is always too expensive. And then what do you call that model? Okay, so let's say we dump 100 billion. And now I realize that it's going to data centers. It's not just going, but all these things are effectively supporting the build out of the models and the betterment of the models, right? So what do we call a scenario when a company is 100 billion into their CAPEX spend on their model and somebody else model comes out and leapfrogs? I know. What's that model worth now?

Exactly. And no one has ever had a model that was the king for a year. Like, you can't even get two months of being the king anymore. Well, and then unlike other CapEx spending, like for instance, even when you built out the internet too much, right, and you were, let's say you were a global crossings who went bankrupt and you laid way too much fiber optic cable, at least you still had an asset there that was worth something. Right. Right? If I'm dedicating all of that money or 80% of that spend or 90% of that spend to the build out of this model and it gets leapfrogged, what do I have? I would say you have compute. You can run out right for a decade at a reasonable income. But you ain't going to make the hundred billion back on that. And I'll go and I'll go back to it, especially if you finance it with 40 year paper or some combo of duration and and so for linked.

you know short-term credit where if we start raising rates all of this trillion 2.4 trillion now it looks like in short-term debt like Is that how much has been taken on already? So I think I shouldn't say short term I think there's about 2.4 trillion in total debt related to AI capex now So that about half roughly a short term I think and then the other half Spans out you know past five years or whatever and just just for again And most of it started off credit, you know, just... I'm a big fan of context. Great grades and... I'm a big fan of context, right? Do you say 2.4 trillion in this number? What is that? That's the equivalent of about 7% of GDP? And whatever that keger is, it's a lot higher than GDP growth. Smoke. Just... And that's the other thing I don't hear anybody say anything about. Hey, guys, you need to start looking at these numbers as percentages of GDP, meaning...

Like, do you know the kind of GDP growth you'd have to see jump to make these investments pay? For them to have a good return on invested capital? I mean, you don't have enough GDP to drive it right now, not yet based on the spend, based on the investment. And that's why I just say, look, I didn't say to sell them, I didn't say to short them. But it was that conversation I had with our clients at the town hall meeting, I go, guys, We don't own more of that stuff because I don't. I have no idea. Yeah, we don't own any of the hyperscalers at all. I. And I. How do I own? How do you? How do you? I don't know how anybody does right now, man. I don't either. I don't know what I own. Now, going back to the chips, I totally get why someone was like, you know what? These are very volatile. They can. They're going to have some nasty pullbacks. But as long as these idiots are going to give them that much money, the hyperscalers are going to throw, you know, 800 billion for Google at them.

because most of that goes to chips, well, I'm just going to own the chips. As long as they want to give them this money, I'm there. I get it. Now, the problem is whenever that worm does turn, it will turn violently. You may not realize it's turning. And you may be, you know. You know, you're going to be in a crowded deal. Right. You could be down 60% before you knew it happened. And that's not a fun place to be. Yeah. I think you could be in other areas that will give you more of a warning and more of a time. But when you look at, you know, we were talking the other day. What was it that three x lever d-ram fund had a hundred billion in it? That was that was the semiconductor one that was a billion now the three x d-ram one probably had plenty if you add up all the three x sk high nexus and sam songs and that's a crowded theater Microns and that's a crowded theater man like good luck getting out of there on time right and you've seen it and in those names and in South Korea and stuff like once those three x's unwind it creates its own its own loop that's you know, it takes a little time to get out of. Yeah. I was also explaining to our clients too that this is why we don't do two and three X ETFs, right? Other than like little trades that are tactical. Right. Yeah. When we're using the leverage as an advantage, you know, for sizing purposes. More, more as you have a capital, capital like, what's the word I'm looking for? Efficiency thing. Right. Right. Uh, let's see what, what else, um, what else did you have today? Uh, jobless claims hit their lowest.

levels since 1969. So I'm not saying you guys not taking jobs, but I am saying that not very many people are getting fired. That's for sure. 1969. And yet, and yet, and yet, participation in the workforce continues to drop. Yep. So you get, you have a, you're kind of still stuck in the no hire, no fire, you know, kind of thing where you're not getting a bunch of hires, but you're not getting a bunch of fires. Like it's just, you're pretty static where you're at. This is weird of an account. It's as weird of a backdrop as I've ever seen. Yeah. And to go back to the, you know, the labor force, it's not just old people leaving the prime age employment to population ratio starting to itself come down some that's 25 to 54 year old people. That's one of my favorite metrics because it doesn't have a bunch of adjustments and crap. It's just like, how many of them are there? How many of them have a job? Right. No, like.

Well, this guy hadn't looked in six months. He doesn't count stuff. So it's still doing well. It's not like it's collapsing or something, but it has turned down a little bit of late. Whereas the labor force one can get some noise from old people even and immigration falling off cliff and stuff. But the other thing you got to think about is inflation expectations. I mean, where have those gone in the last month? Yeah, you're back to two hikes now. I've been saying Even when even when the July hike got priced all the way down to like 20% or whatever like I don't know man. It feels like that could still happen to me And I still think you can get a July hike and if not I would be shocked if you didn't get one before Halloween shocked The other thing we got to look back into it too is is look at all the distillate disruption. There's gonna be urea disrupt, you know, just because And and that was kind of my fear of this thing heating back up again because you had so much padding and extra cushion heading into this thing the first time. And that padding and extra cushion is now gone. And yeah. On the LNG side, the oil side, you name it. But yet the market's acting as if, the market's acting as if the padding that you had going in is just the way things are. Right, exactly. When it's not, because that was an anomaly to begin with anyway, right? But now that's gone.

You know, you've got to again hoping it doesn't happen, but you're bringing right back into these scenarios, you know fertilizer issues and planning issues and crop weather is brutal with with El Nino I mean anyone can go

pull up the chart of wheat or soybeans right now of their mooning and a lot of it's the crazy heat from El Nino is Torching some of these some of these fields obviously water issues and I would think I'm not an agricultural master by any stretch imagination, but I would think that with each additional environmental stress you have, and I'm sure it can't make up for all of it, but I would think fertilizers become more valuable when you've got increased environmental stresses. Absolutely. Yeah. It's just if you go low on fertilizer and then have a weather event, man, you are in trouble. Right. It's like an IV for a person. Right. You can you can rehydrate in five days. But if we can give you an IV, we can get you there. It puts a lot of fragility in a crop. If you If you don't give it enough nutrients, it's like a person. If you don't give enough nutrients and enough water, you really don't feel good. That's trouble. So let's talk about the general trajectory of the market. Now I think you're at a really interesting spot with we are at a level now where rates are breaking things and have. This is the same level where they're breaking things last time. All of the economic data would suggest that rates are not about ready to drop.

You see jobless claims like that. Unless you get Iran taco time, it's very difficult to see how you remove this pressure from equities. Well, and I think the other thing too is I hear the line coming out of the administration that Iran's begging us for a deal. But when I hear Rubio say what he said yesterday, I kind of feel like that's one of those moments where it's like, dude, you weren't supposed to say that. He's like, they're not serious about negotiating. Right. All the people that are talking about the back channel, what's actually going on are saying they're not talking, they're not helpful. To me, it sounds and looks like they're at a place now that we thought they'd be at two and a half months ago. That's my view. Ghalibov today highlighting the oil price told me it's front of mind. Now, they did it in the past and they still took the bait of the MOU, you could argue, so maybe they'll take it again. But I think they kind of learned their lesson that that they they have to inject a lot more pain before they're really willing to sit down next time. Because if not, we'll just go back to playing cat and mouse and and playing around. So yeah. Yeah. We're now it seems like the momentum's on their side. We're again, especially with the Red Sea. Yeah. And if I'm them, I'm just going to sit there and go, no, we don't want to meet. We'll call call us when WTI 120. And they they still have cards to

play so they could still do more on the Red Sea. They could still do more in Fugera.

They could still hit actual energy infrastructure in ways they've barely done. So there's still plenty there that they could do as well, which if we're talking about a big escalation, that would probably be their big escalation. God dang man. Well, I don't even know what a big escalation looks like. Yeah, I don't want to. But to your point about the broader equity market, you look like a chart of the cues. And it looks like it could break down in a pretty serious way. And so if we don't get some softening of of tone, rhetoric, back channel talks that get highlighted. It's hard for me to see a situation other than earnings, just, you know, juicing, juicing chips back up to save us all or whatever, like, which is possible. But it's starting to look like you're working your way. I mean, the Google one shows it perfectly. It's starting to look like that scenario that we were talking about is starting to play out for every chip dollar up.

A hyperscalar dollar down. Yeah. And then when you look at the market cap, weighting of the hyperscalars, that's a market that ain't going to go up when that dynamic's playing out, right? If the Meg 7 are drawing down even somewhat aggressively, that index ain't going anywhere. And as soon as the index goes up, they're probably going to hand you a bunch of stock to pay for this crap. Yeah. Yeah. Or bonds, I should say, to be fair. The other thing is, and I don't know specifically, these are scars of mind talking. Probably scars of 08 talking, honestly. But just whenever you see situations like this in summer, coming into August and September, kind of beware the ides of fall. You know what I mean? You get some nasty seasonality around September and October. And I think you have a bit of a seasonality kicker with the situation around if we're still going into fall.

the incentive for them to really press into the open wound, they're really high in the fall because we have important elections in November. And it's not like they don't have a calendar. They don't know how that works. So their incentive to really press that inflation button to impact that are significant. So generally market then, I'm sitting here looking at this market over the next month, month and a half. I mean, this is obviously what we do. Know your risk, all that kind of stuff. But I just keep thinking risk

management. It just feels like a market where the current setup, and look, a week from now, we could be completely wrong depending on how things play out. But that being said, looking at this market right now, it feels like a market where a lot more bad stuff could happen than good. It just feels like that, do you know what I mean? It just feels tilted in the wrong direction. Yeah, I fully agree. I mean, and I think the market and most market participants are just Way to sing one about the war like and I get it like paying attention to geopolitics has just gotten your way if you're a normal just Investment bank person or something or just you know, you're running some mutual fund or some crap, whatever like You're better off to just ignore it But because now everyone knows that everyone knows you should ignore geopolitics and everyone knows that Iran war and doesn't make oil go up straight form moves doesn't make oil go up It's just off everyone's radar now. So now it can actually get in there and do some damage now And I think and I've heard some people smart people making the argument Yeah, who cares that's not gonna hurt earnings like yes, it will like yes, it will oil is a margin thief if Energy prices go up enough and we're talking about food and and all these other things too like That it's all competing for the same dollars. So if a bunch more dollars go to necessities less is gonna go to non necessities and A lot of corporate America will not have the earnings they thought and that has consequences for the market Yeah, well, I mean especially if you're normalizing them and adjusting for a spend and I go like talking about that that Google 300 billion dollar jump in their spending commitments A lot of that's just the inflation of the stuff they're buying. It's not necessarily like hey We want two more data centers, you know on that order book. It's probably just like Hey boss, like we said that was gonna cost 100 million that's gonna cost 120 like sorry like everything got more expensive in the last three months. Sorry Yeah, why and no one's had the guts to be like, you know, that's too expensive. Put it on ice, you know. Yeah. So maybe that will change. But, and I think I'm stealing this from Paul Craig, but he kind of mentioned the Oracle side. Like if anyone's going to blink first because of their credit situation, I would expect Oracle to be the first to be like too much. We're going to, we're going to take a break here. So I would be on watch for that and on watch for what is there, what does their equity price do? Does it, does it give you a sigh of relief on that or what? But.

But I still think that it's I know and I'm over indexing on meta it took an 80% drawdown for meta to go. Maybe this this I forgot metaverse thing is stupid I think if they that was a metaverse like come on man, like that's lame stuff AI like these these guys really want the digital sky daddy So it might take 85 90% drawdown for some of them to let go now They probably start peeling back plans or whatever but because in a weird way When you've already laid that much capital out in a weird way, you know The minute you sit there and say we're gonna stop it's almost like you're realizing that that money just got lit on fire Right like is it watching the interest expense of these companies is gonna be fascinating the next three four years It's already like really inflecting higher It's kind of weird to see because most of them were making huge money on net income from because they just like sit on treasuries and stuff But now they've turned that on debt so Well, and if you could, you know, if you could get debt at those prices, I don't even know why you'd be selling stock. Yeah. Now they're going to struggle to get it at a good price from here. And now they're going to, when they do sell stock, they're going to be selling stock 30% off the highs. So that's a tough environment. Yeah. Like when you were still trading at the high end of your evaluation range. They should have shoved it down everyone's throat. And I'll give Google credit for that. They're just 85 billion, just right down your throat. Like here you go. Yeah. That was smart. Yeah. And they sold it.

Considerably higher than present. I believe. Yeah. Oh, well, especially after today Yeah, didn't they sell that wasn't like around 400 bucks a share or something? I don't remember but it was it was definitely north of here You know what I do if I was right before the SpaceX IPO, which was also very smart. I was Apple. I'd be selling stock too at 40 Yeah, what at there? Speaking of their their software is going to be running in Ford Ford they decided to deal with Ford to run their software So they are starting to branch out a little bit really not saying that multiple makes sense But I am saying maybe the business side is getting a little better Boy, yeah, I mean look. Yeah. I At least they don't have AI cap. Yeah, I have that that's the best thing I could say for them I'm not I think it's the best way best thing everyone could say for them and if you're an index hugger You're gonna have a bunch of it. Yeah You got anything else? No, I'm good to go. All right, brother As always you guys can follow us on social media on X. I'm

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